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TSMC | Asia Pacific

Earnings preview and catalysts for 2Q26 analyst meeting

We suggest accumulating the stock given potential for full-year 2026 guidance to be raised.

What and when is the catalyst? TSMC will host its 2Q26 analyst meeting on July 16. In [TSMC: Domination in leading-edge foundry continues; OW \(29 June 2026\)](#), we noted that TSMC may lift 2026e revenue guidance to close to 40% Y/Y growth and raise capex to US\$56bn, the high end of its initial US\$52-56bn range. Looking ahead to 3Q26, we forecast revenue to be up in the low to mid-teens Q/Q given strong demand in both 3nm and 2nm products. The margin should improve further Q/Q, in our view, with better utilization rate, but higher costs and depreciation are potential offsets. See our [preview and key questions to ask](#).

What are the potential outcomes for this event?

- **Scenario 1:** TSMC guides for 3Q26 revenue to be up 15% Q/Q in USD, full-year revenue growth target raised to ~40% Y/Y, 3Q gross margin to be ~70%. 2026 full-year capex raised to US\$60bn, and 2024-2029 five-year AI semi revenue CAGR is raised to 80%. TSMC cannot fulfill the strong AI demand until the end of the decade.
- **Scenario 2 (base case):** TSMC guides for 3Q26 revenue to be up 10%-15% Q/Q in USD, full-year revenue growth target raised to high 30s (% Y/Y) or close to 40% Y/Y, 3Q gross margin to be ~67%-68% (flat Q/Q). Full-year 2026 capex updated to US\$56bn, while five-year AI semi revenue CAGR raised to 70% from the current mid- to high 50s (%), mainly from memory cost increase. TSMC is trying to meet strong AI demand in 2028.
- **Scenario 3:** TSMC guides for 3Q26 revenue to be up 5%-10% Q/Q in USD, full-year revenue growth updated to ~35% Y/Y, 3Q gross margin to be ~66%-67% (down Q/Q). 2026 full-year capex guidance unchanged at US\$54-56bn, while five-year AI semi revenue CAGR is also unchanged at mid- to high 50s (%). AI demand is strong but could be affected by memory costs.

What are the potential implications of these outcomes for TSMC's share price?

Scenario 1: up 3-5%. **Scenario 2:** up 1-3%. **Scenario 3:** down 3-5%.

See [Exhibit 1](#).

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**TSMC (2330.TW, 2330 TT)**

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight
Industry View	Attractive
Price target	NT\$2,888.00
Up/downside to price target (%)	18
Shr price, close (Jul 13, 2026)	NT\$2,440.00
Mkt cap, curr (mn)	NT\$63,264,271
Avg daily trading value (mn)	NT\$64,514

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	66.25	107.56	143.01	177.30
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)\$	64.56	99.97	129.74	164.77
ModelWare net inc (NT \$ bn)	1,718	2,778	3,708	4,597
P/E	23.4	22.8	17.1	13.8
Div yld (%)	1.4	1.1	1.4	1.8

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** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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TSMC 2330.TW

2Q26 margin, 3Q26/2026 full-year guidance	— In-line	↑ Modest revision higher
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- We think TSMC may guide for 3Q26 revenue growth of 10-15% Y/Y, with the midpoint of margin guidance within the range of 67-68%.
- Full-year revenue growth target raised to high 30s (%) Y/Y, or close to 40% Y/Y. 2026 full-year capex updated to US\$56bn; five-year AI semi revenue CAGR is raised to 70%.
- Management's comments on AI demand sustainability - still very strong until 2028.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Exhibit

Exhibit 1: Scenario 2 is our base case, to which we assign a 60% probability.

Details of the scenario	Scenario 1	Scenario 2	Scenario 3
PROBABILITIES	20%	60%	20%
3Q26 USD revenue growth	15% Q/Q	10-15% Q/Q	5-10% Q/Q
3Q26 gross margin	70%	67-68%	66-67%
2026 full-year revenue growth	Around 40%	Close to 40%	Around 35%
2026 full-year capex in USD	Raised to US \$60bn	Raised to US \$56bn	Unchanged at US \$54-56bn
Five-year AI semi revenue CAGR	Raised to 80%	Raised to 70%	Unchanged at mid-high 50s (%)
AI demand sustainability	Until the end of the decade	Strong until 2028	Could be affected by memory costs
Potential change in stock price (%)	Up 3-5%	Up 1-3%	Down 3-5%
Corresponding projected stock price	NT\$2,487-2,535	NT\$2,439-2,487	NT\$2,294-2,342

Source: Morgan Stanley Research estimates

Valuation Methodology and Risks

TSMC (2330.TW)

Base case, residual income model. Key assumptions: a cost of equity of 9.2% (beta of 1.2, risk-free rate of 2.0% and risk premium of 6.0%), an intermediate growth rate of 10.5%, and a terminal growth rate of 4.0%.

Risks to Upside

- TSMC charges large customers more to keep its gross margin above 56% in the long term.
- AI semi demand grows more significantly than expected, while TSMC maintains high market share in leading-edge foundry business.
- Outsourcing from Intel CPU increases in 2025-27.

Risks to Downside

- Inventory correction occurs in 2026.
- Demand for leading edge technologies weakens.
- Costs of overseas fabs grow significantly.

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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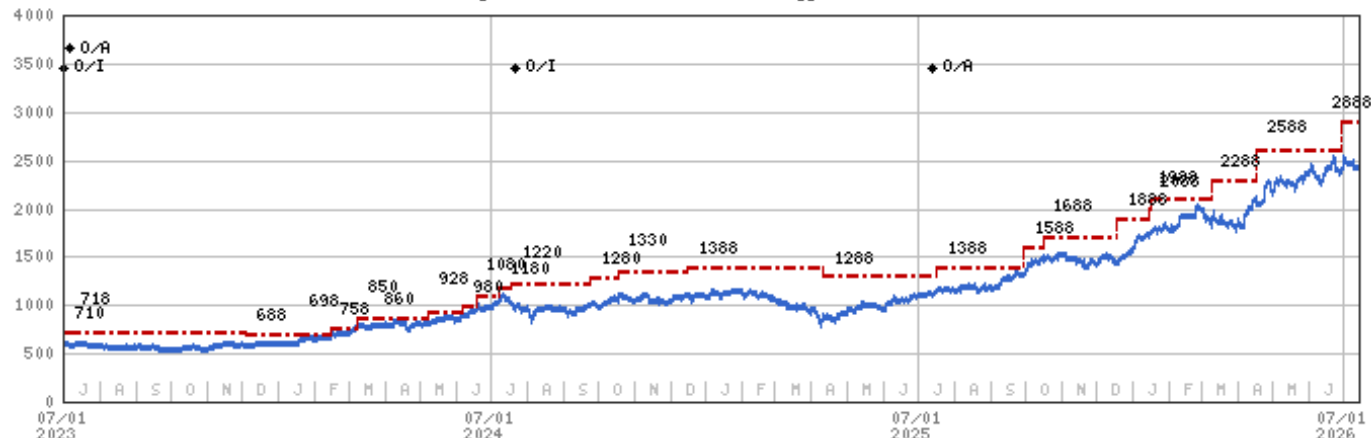
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Industry : Greater China Technology Semiconductors



Stock Rating History: 7/1/21 : E/I; 10/12/21 : E/C; 2/1/22 : O/C; 10/4/22 : O/A; 2/22/23 : O/I; 7/7/23 : O/A; 7/21/24 : O/I; 7/14/25 : O/A

Price Target History: 6/18/21 : 580; 1/3/22 : 618; 1/13/22 : 648; 2/7/22 : 780; 9/23/22 : 720; 12/14/22 : 700; 4/20/23 : 680; 6/12/23 : 710; 7/7/23 : 718; 12/4/23 : 688; 1/18/24 : 698; 2/14/24 : 758; 3/8/24 : 850; 3/22/24 : 860; 5/8/24 : 928; 6/6/24 : 980; 6/18/24 : 1080; 7/8/24 : 1180; 7/18/24 : 1220; 9/24/24 : 1280; 10/17/24 : 1330; 12/16/24 : 1388; 4/11/25 : 1288; 7/17/25 : 1388; 9/30/25 : 1588; 10/16/25 : 1688; 12/18/25 : 1888; 1/14/26 : 1988; 1/16/26 : 2088; 3/9/26 : 2288; 4/17/26 : 2588; 6/29/26 : 2888

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$103.00
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb408.60
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$135.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,135.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$670.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,390.00
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,270.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$1,485.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$523.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$172.30
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$480.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$307.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb87.95
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,825.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb972.86
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$423.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb764.30
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb102.49
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,170.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb116.26
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$524.00
SMIC (0981.HK)	O (10/21/2025)	HK\$78.35
TSMC (2330.TW)	O (02/07/2022)	NT\$2,440.00
UMC (2303.TW)	O (05/19/2026)	NT\$153.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$178.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$403.00

Daisy Dai, CFA

ASMP T Ltd (0522.HK)	O (07/24/2025)	HK\$185.40
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb77.60
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb119.83
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb41.93
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb345.00
Innoscence (2577.HK)	E (10/13/2025)	HK\$49.38
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb99.05
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$29.38
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb138.59
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb116.99
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb81.74
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb27.80
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb113.31

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$893.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,510.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$13,520.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$107.00
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$183.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb125.80
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb550.80
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$138.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$332.20
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb252.79
Novatek (3034.TW)	U (02/04/2026)	NT\$467.50
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$163.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$647.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$69.00
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$756.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb55.63
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$167.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$117.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$211.00

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb154.15
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb522.04

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,035.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$601.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$15.23
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,705.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,640.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$326.35
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$7,375.00

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* Historical prices are not split adjusted.